

market value model allows us to disaggregate business segments and uncover 'hidden value.'" We call this the *good company/bad company* theme. The good part of the company is worth more than the stock is selling for. Fix or sell the bad part and the stock can take off.

We pay considerable attention to a company's asset value. That's different from book value. Book value is the cost of the company's assets minus depreciation. It's a funny number. In today's world it's often a residual of taking an old number—from such a long time ago that it doesn't mean much—and making rather arbitrary additions and subtractions to it as time goes by. It's an easy number to find, but often a treacherous measure.

Consider the Rouse Company, a real estate company. Its properties have depreciated to the point that the company's book value is negligible, yet the actual economic value of Rouse's shopping centers is quite high. One could find that Rouse has a book value of only \$2 or \$3 a share, but that its asset value—the real market value—is \$25 or \$30 a share. Asset value takes everything into consideration, including the company's long- and short-term liabilities and intangible assets such as brands and patents. It better reflects the company's true private market value, what a potential acquirer would be willing to pay for the company. Try to invest in companies that you'd be happy to buy lock, stock, and barrel at their current price.

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But one of the legs of my investment tripod is *growth potential*. As I often say, I want it all. I look for companies that are still cheap in relation to their earnings-growth potential. When you invest in smaller companies, you can still find them.